

NovaTech Solutions — Financial Report Q1 2025

Finance Department | Confidential | Prepared: April 10, 2025

Executive Summary

NovaTech delivered strong Q1 2025 results, with total revenue of \$12.4M, representing 34% year-over-year growth. Gross margin improved to 71%, up from 67% in Q1 2024. EBITDA reached \$2.1M, driven by expanded enterprise contracts and improved cloud infrastructure efficiency. The company ended Q1 with \$28.3M cash on hand.

Revenue Breakdown

[Figure 1: Revenue by Product Line — Q1 2025 vs Q1 2024]

As shown in Figure 1 above, SaaS subscription revenue accounts for 68% of total revenue, with Cloud Infrastructure at 22% and Professional Services at 10%. This represents a shift from Q1 2024 when SaaS was 61% of revenue, indicating successful upsell motion.

Revenue Stream	Q1 2024 (\$M)	Q1 2025 (\$M)	Growth	% of Revenue
SaaS Subscriptions	5.64	8.43	+49.5%	68%
Cloud Infrastructure	2.22	2.73	+23.0%	22%
Professional Services	1.39	1.24	-10.8%	10%
Total Revenue	9.25	12.40	+34.1%	100%

Table 1: Revenue breakdown Q1 2024 vs Q1 2025

Cost Structure

[Figure 2: Cost Breakdown by Category — see diagram]

As shown in the diagram, R&D; investment accounts for the largest cost category at 35% of OpEx, reflecting our continued product investment. G&A; costs were held flat due to procurement efficiency initiatives led by Finance in Q4 2024.

Cost Category	Q1 2025 (\$M)	% of Revenue
Cost of Revenue	3.60	29%
R&D	2.85	23%
Sales & Marketing	2.48	20%
G&A	1.36	11%
Total OpEx	10.29	83%

Table 2: Cost structure Q1 2025

Key Metrics

Metric	Q4 2024	Q1 2025	Target	Status
ARR (\$M)	44.2	49.6	48.0	ABOVE TARGET
Net Revenue Retention	118%	121%	115%	ABOVE TARGET
Gross Margin	68%	71%	70%	ABOVE TARGET
CAC (\$K)	38.4	35.1	<40	ON TRACK
Churn Rate	1.8%	1.5%	<2%	ON TRACK
Headcount	187	201	205	ON TRACK

Table 3: Q1 2025 KPI Dashboard

Outlook & Q2 2025 Guidance

Management reaffirms FY2025 guidance of \$52-55M total revenue. Q2 2025 revenue expected at \$13.0-13.5M, driven by the HealthFirst enterprise contract (\$2.2M ARR) signed in late March 2025 and the anticipated BrightLogic Analytics expansion. The Atlas Platform infrastructure investment is expected to drive further margin improvement in H2 2025.

Note: Q2 2024 revenue was \$10.3M. Expected Q2 2025 growth represents approximately 26-31% YoY.

Finance Contact: CFO Linda Zhao (l.zhao@novatech.io) | finance@novatech.io